EQUITY RESEARCH · COMPANY DEEP DIVE

NVIDIA Corporation (NVDA.US)

HOLD
Blended Target: $204.07
DCF + Comps + Analyst (see cross-check table)
Implied upside: -3.7%

Technology · Semiconductors
Large Cap (>$200B) · Report Date: June 15, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-15

Price (Jun): $212.00

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target $204.07 (-3.7% vs $212.00); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

NVIDIA Corporation (NVDA) — Technology. NVIDIA Corporation operates as a data center scale AI infrastructure company in the United States, Taiwan, China, Hong Kong, Europe, and internationally. It... **HOLD** rating; blended target $204.07. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$5.13T	Shares Out.	24221.0M
52-Week Range	$142.03 – $236.54	P/E (TTM)	32.5x
P/B	26.3x	Beta	2.20
Avg Volume	165.36M	Analyst Rec.	Strong_Buy
Revenue (TTM)	$253.49B	Rev Growth	+85.2%
Op. Margin	65.6%	FCF (TTM)	$96.68B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	130,497	215,938	399,917	641,427	917,388
Revenue Growth (%)	N/A	65.5%	85.2%	60.4%	43.0%
Net Income ($M)	72,880	120,067	222,364	356,650	510,091
Net Income Growth (%)	N/A	64.7%	85.2%	60.4%	43.0%
Gross Margin (%)	75.0%	71.1%	74.1%	74.1%	74.1%
Net Margin (%)	55.8%	55.6%	55.6%	55.6%	55.6%
ROE (%)	91.9%	76.3%	141.4%	205.7%	280.1%
EPS ($)	3.01	4.96	9.18	14.72	21.06
Book Value / Share ($)	3.28	6.49	6.49	7.16	7.52
P/E (x)	70.46	42.77	23.09	14.40	10.07
P/B (x)	64.73	32.65	32.65	29.61	28.20
Dividend Yield (%)	49.0%	49.0%	49.0%	49.0%	49.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$44.28	-79.1%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	$170.17	-19.7%	—	Peer median P/E 26.1x
Comps — EV/EBITDA (peer median)	$109.21	-48.5%	—	Peer median 18.3x
Comps — P/S (peer median)	$91.95	-56.6%	—	Peer median P/S 8.8x
Comps — Blended (avg. of available multiples)	$109.21	-48.5%	0% (excluded)	Diverges below other methods (37% of median)
Analyst consensus (Yahoo Finance)	$298.93	+41.0%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	$204.07	-3.7%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Methods diverge >30%: target anchored to Comps/Analyst consensus

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	16.11%
Terminal g	1.50%
FCFE growth	12.00%
Base FCFE	$96.68B
PV explicit (5Y)	$468.08B
PV terminal	$604.32B
Equity value (adj.)	$1.07T
Implied price	$44.28
vs. current	-79.1%

INDUSTRY ANALYSIS

1. Industry Overview
NVIDIA Corporation operates as a data center scale AI infrastructure company in the United States, Taiwan, China, Hong Kong, Europe, and internationally. It operates through Compute & Networking, and Graphics segments. The Compute & Networking segment provides data center accelerated computing and networking platforms and artificial intelligence solutions and software, and automotive platforms...

2. Key Trends
• Strong top-line growth (85.2% YoY)
• High operating leverage (65.6% margin)
• Above-market volatility (β=2.20)
• Sector: Technology | Industry: Semiconductors

3. Risk Factors
• High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	$2.96T	23.8x	16.0x	39.3%	+18.3%
GOOGL	Alphabet Inc.	$4.53T	28.4x	26.8x	37.9%	+21.8%
META	Meta Platforms, Inc.	$1.51T	21.6x	13.2x	32.8%	+33.1%
ORCL	Oracle Corporation	$556.18B	33.1x	20.6x	25.4%	+20.6%
NVDA*	NVIDIA Corporation	$5.13T	32.5x	29.8x	63.0%	+85.2%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.